

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

STATE – 2020

Multiple Choice:

30 @ 2 points each _____ (60 points)

Short Answer:

21 @ 3 points each _____ (63 points)

TOTAL POINTS _____ ***(123 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than 60 minutes testing time

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GENERAL INSTRUCTIONS

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.

Example: Use 2.3% NOT 2%

Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).

Example: \$35.9765 to \$35.98

Multiple Choice: Choose the best answer for each of the following and record your answer on the Scantron form provided.

1. Which of the following is also known as the broad market index?
 - a. Nikkei Index
 - b. Dow Jones Industrial Average
 - c. S&P 500
 - d. Russell 2000 Composite
2. Form W4 is completed by an employee in order to
 - a. file a form 1040.
 - b. determine payroll tax withholdings.
 - c. show the amount of earnings and taxes withheld for the year.
 - d. claim tips on the income tax return.
3. A bank is the typical place to purchase this type of retirement account.
 - a. 401(k)
 - b. 403(b)
 - c. Pension fund
 - d. IRA
4. The money paid by the insured before the insurance coverage pays on a claim is a
 - a. co-pay
 - b. premium.
 - c. deductible.
 - d. no fault clause.
5. If you want to invest into blue chip companies, which of the following mutual funds would most likely satisfy your objective?
 - a. Small-cap value
 - b. Mid-cap growth
 - c. Income
 - d. Large-cap value
6. Earnings that are taxed in the year of withdrawal instead of the year they are earned are known as _____ earnings.
 - a. tax abated
 - b. tax restructured
 - c. tax withheld
 - d. tax deferred
7. You sign a 90-day promissory note on March 8, 2020. What is the note's due date?
 - a. June 6, 2020
 - b. June 7, 2020
 - c. June 8, 2020
 - d. June 9, 2020

8. The specified amount of payment required periodically by an insurer to provide coverage is known as a
 - a. deductible.
 - b. co-pay.
 - c. policy.
 - d. premium.
9. Which of the following represents the correct order, from beginning to end, of items on a personal tax return?
 - a. Taxable Income, AGI, Gross Income
 - b. AGI, Gross Income, Taxable Income
 - c. Gross Income, Taxable Income, AGI
 - d. Gross Income, AGI, Taxable Income
10. How many compounding periods would a 3-year CD have if interest was compounded quarterly?
 - a. 3
 - b. 4
 - c. 9
 - d. 12
11. Quest Corp. had earnings in 2020 of \$13.5 million. It has 5,000,000 shares of stock outstanding, with a current market price of \$53.25. What is Quest's P/E ratio?
 - a. 2.7
 - b. 3.9
 - c. 19.7
 - d. 53.3
12. Which will bring a greater return when compounding interest on a CD?
 - a. More compounding periods
 - b. Lower interest rate
 - c. Shorter term
 - d. Less principal
13. A mutual fund that is categorized as small-cap growth would most likely invest in what types of stocks?
 - a. Blue chips
 - b. International conglomerates
 - c. Tech startups
 - d. Dow Jones stocks

14. A written, signed document that guarantees payment of a certain amount at a certain date is a(n)
- a. contract.
 - b. promissory note.
 - c. accounts payable.
 - d. invoice.
15. You recently sold a stock for \$52.50. The return on your investment was 7.2%. What did you buy the stock for?
- a. \$45.30
 - b. \$48.97
 - c. \$56.28
 - d. \$59.70
16. How many allowances are claimed on your tax return if you are married with three children?
- a. 1
 - b. 3
 - c. 4
 - d. 5
17. How are dividends treated on an income tax return?
- a. An addition to adjusted gross income
 - b. Capital gains
 - c. An itemized deduction
 - d. A deduction to taxable income
18. A credit score is also known as a _____ score.
- a. FCRA
 - b. FICO
 - c. FED
 - d. FDIC
19. Your mortgage payment is an example of a(n)
- a. discretionary expense.
 - b. variable expense.
 - c. fixed expense.
 - d. unnecessary expense.
20. The investment that tracks an index, commodity, or basket of assets, but trades like a common stock on a stock exchange is a(n)
- a. ETF.
 - b. income mutual fund.
 - c. equity mutual fund.
 - d. corporate bond.

21. A small, fixed amount that is required to be paid at the time of outpatient service is a
- deductible.
 - premium.
 - claim.
 - co-pay.
22. The fraudulent practice of sending emails to induce individuals to reveal personal information such as credit card numbers or passwords is known as
- spoofing.
 - phishing.
 - scamming.
 - password infringement.
23. Your net worth is the difference between your
- liquid assets and your real estate's market value.
 - personal possessions' market value and your investment assets.
 - total assets and your total liabilities.
 - current assets and your long-term liabilities.
24. The APR shown on a credit card policy statement refers to the effective interest rate over what period of time?
- 1 month
 - 1 quarter
 - 6 months
 - 1 year
25. You wish to invest into a 5% front-end load mutual fund that has a current NAV of \$36.70 and a minimum initial investment of \$1,000. What is the minimum number of shares you must purchase?
- 27
 - 28
 - 29
 - 36
26. Which investment pays interest?
- CD
 - Preferred Stock
 - Equity Mutual Fund
 - Common Stock
27. The type of auto insurance that covers the damage to your car from a hailstorm is
- medical liability.
 - property liability.
 - collision.
 - comprehensive.

28. The three common credit reporting agencies include all of the following except
- Equifax.
 - Standard & Poor.
 - TransUnion.
 - Experion.
29. Which retirement account is typically available only for employees of tax-exempt organizations?
- 403 (B)
 - 401 (K)
 - Roth IRA
 - IRA
30. Which of the following would most likely negatively affect your credit score?
- Beginning a new job
 - Paying your credit card balance in full
 - Paying the final payment on a car loan
 - Applying for more credit cards

Short Answer:

1. On March 18th, 2019, Emma Garcia bought 300 shares of the Acme Small-cap growth mutual fund. The fund's NAV on that date was \$36.80, and included a front-end load of 4.0%. One year later, March 3rd, 2020, the NAV for the fund had risen to \$45.90, so Emma decided to sell all of her shares.
- What was the total cost of purchasing the mutual fund? _____
 - How much did Emma receive when she sold the fund ? _____
 - Ignoring the load, how much money did Emma gain on her investment?

 - What was the percentage return on the mutual fund? _____
2. At the beginning of 2019 you invested \$10,000 into a one-year Certificate of Deposit that pays 3.5% interest compounded quarterly. Determine the interest you earned at each quarterly period.
- 1st Quarter - _____
 - 2nd Quarter - _____
 - 3rd Quarter - _____
 - 4th Quarter - _____

3. In early 2019 Michelle Redman, a 23-year old that lives on her own, began her career as an accountant working for one of the Big Four accounting firms. In January of 2020 she received her W2 that showed the following information from tax year 2019:

- Box 1, wages and tips earned - \$48,650.00
- Box 2, Federal Tax withheld - \$8,672.15
- Box 4, Social Security Tax withheld – \$3016.30
- Box 6, Medicare Tax withheld - \$705.43

Michelle earned taxable interest from various sources totaling \$145.25 during the year. The 2019 standard deduction is \$12,200.

- a. What tax form will Michelle use to do her federal tax return? _____
 - b. What is Michelle's adjusted gross income for 2019? _____
 - c. What is Michelle's taxable income for 2019? _____
 - d. If Julio's federal tax return, line shows a tax liability of \$6,357.80, how much of a return will she be due from the IRS? _____
4. Anna Corning likes to invest into the stock market. Over the past three years, these are the transactions Anna has made:
1. Bought 75 shares of Simco Corp. @ \$64.12
 2. Bought 120 shares of Tech Street Inc @ \$24.75
 3. Bought 40 shares of Northside Co. @ \$114.33
 4. Sold all 75 shares of Simco Corp @ \$70.60

Anna's broker charges a 2% commission on all stock transactions. Find the following. Calculate percentages to the nearest 0.1%.

- a. How much did Anna spend on her three stock purchases, including the commission charges? _____
- b. What was the total commission that Anna's broker made on all of her transactions? _____
- c. What was the percentage return Anna made on her investment in Simco Corp, ignoring the 2% commission? _____
- d. How much money did Anna make on the Simco investment, ignoring the 2% commission? _____

5. Garrett Simkowitz works for a car manufacturer that offers health insurance to its employees at a cost of \$35 per semimonthly pay period. His policy includes a \$700 annual deductible. The policy includes co-pay of \$25 for doctor's office visits, \$50 for urgent care visits, and \$150 for emergency room visits. During 2019 Garrett had the following health related services and costs. The co-pay is not included in the costs shown.

March 23 - Emergency room visit for x-rays that cost \$600.00

June 24 – Doctor's visit at a cost of \$125.00

September 15 – Doctor's visit at a cost of \$85.00

November 8 – Urgent care visit that includes a test, total cost \$400.00

- a. How much annually does Garrett pay to purchase insurance? _____
- b. How much in co-pay charges did Garrett pay for the year? _____
- c. How much in total did Garrett pay for the emergency room visit? _____
- d. How much in total did Garrett pay for the September 15 doctor's visit?

- e. How much did the insurance pay for the Urgent Care visit? _____